

CONFIDENTIAL

Report to Investors in The Children's Investment Fund

Period: 1st October 2004 to 31st December 2004

Dear Investor:

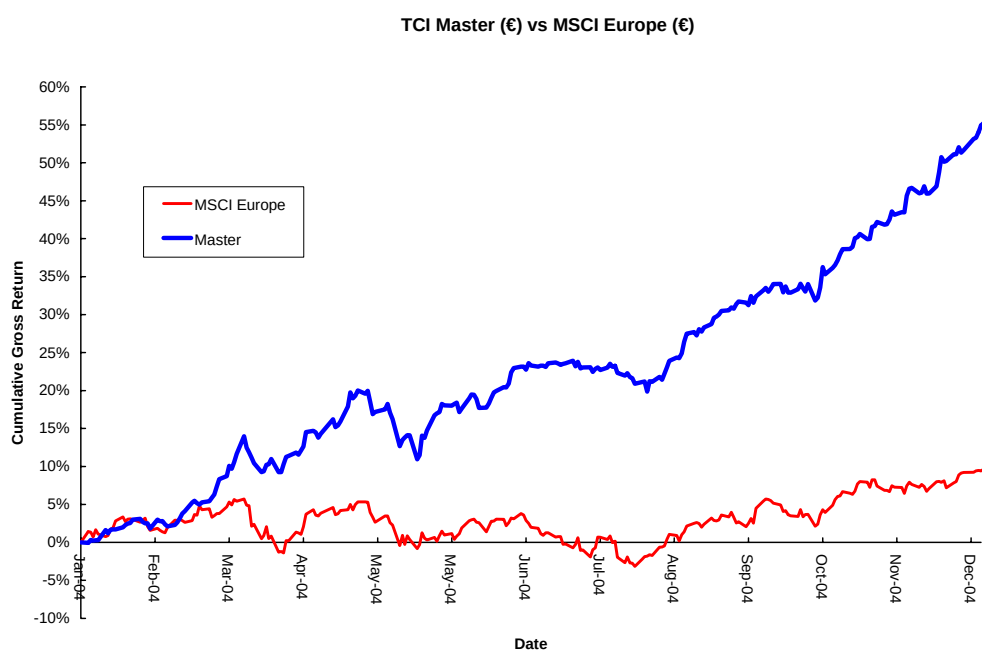
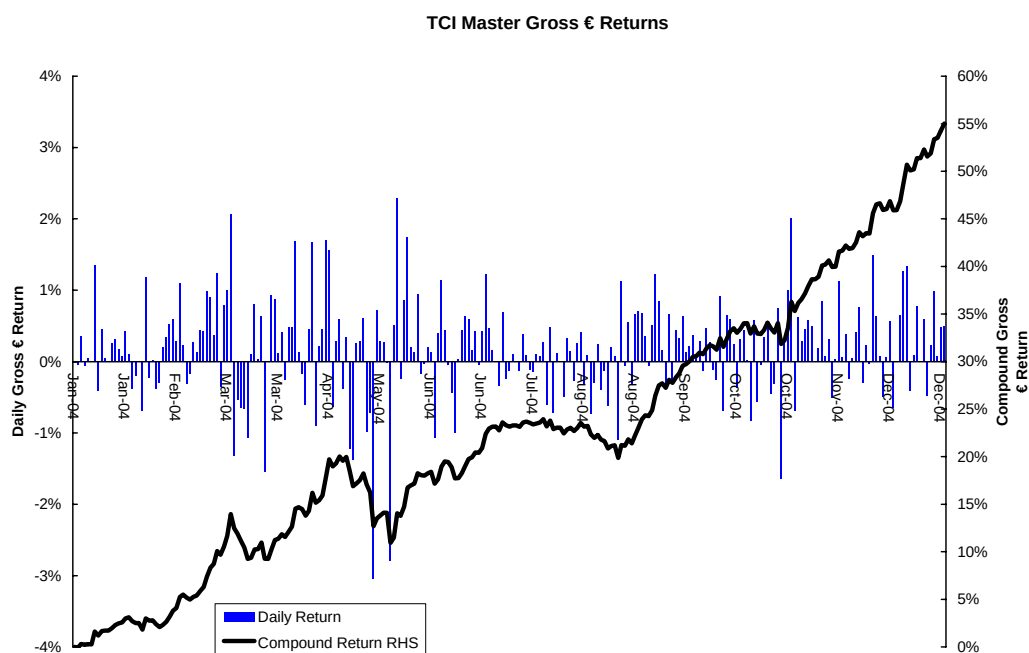
Returns

Returns to investors for this period, net of (a) management and accrued incentive fees and (b) monthly and annual accrued charitable donations from the fund, are shown below:

Period	Master Fund Assets €m	Class A (3yr) \$	Class B (5yr) \$	MSCI Europe (€)	SP500 (\$)	MSCI World (\$)
January	374.8	+1.36%	+1.41%	+1.60%	+1.73%	+1.54%
February	531.7	+5.08%	+5.26%	+2.17%	+1.22%	+1.55%
March	553.6	+2.75%	+2.78%	-2.64%	-1.64%	-0.89%
Q1		+9.44%	+9.71%	+1.06%	+1.28%	+2.20%
April	734.6	+3.70%	+3.77%	+1.58%	-1.68%	-2.22%
May	872.1	+0.40%	+0.43%	-1.46%	+1.21%	+0.67%
June	1,081.2	+2.82%	+2.90%	+1.72%	+1.80%	+1.91%
Q2		+7.05%	+7.23%	+1.81%	+1.30%	+0.32%
July	1,088.4	-0.24%	-0.24%	-2.15%	-3.43%	-3.34%
August	1,113.9	+0.85%	+0.88%	-0.48%	+0.23%	+0.26%
September	1,172.8	+4.86%	+5.00%	+2.33%	+0.84%	+1.77%
Q3		+5.50%	+5.67%	-0.35%	-2.30%	-1.38%
October	1,187.3	+2.35%	+2.41%	+1.37%	+1.40%	+2.37%
November	1,434.6	+4.93%	+5.31%	+2.43%	+3.86%	+5.09%
December	1,588.5	+6.94%	+7.13%	+2.79%	+3.25%	+3.73%
Q4		+14.85%	+15.54%	+6.73%	+8.73%	+11.59%
YTD		+41.95%	+43.65%	+9.43%	+8.99%	+12.84%

Sources: Citco Fund Services; Bloomberg LP

In previous letters we have shown MSCI Europe in dollars. We have changed to the euro based index in order to remove the fx impact, and show the MSCI Europe local currency return. This is relevant as the USD classes enjoy hedging such that there is no actual exposure to the euro dollar exchange rate ie. they receive, except where specifically identified, the local currency return for their investments.



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Performance Attribution

The gains made in the period were €237m. The biggest contributors to performance were Altadis (23% of total gains for the quarter), Autostrade (14% of gains), Banca Intesa (22 % of gains) and Snam Retegas (8% of gains). A more detailed breakdown is shown in Appendix 1.

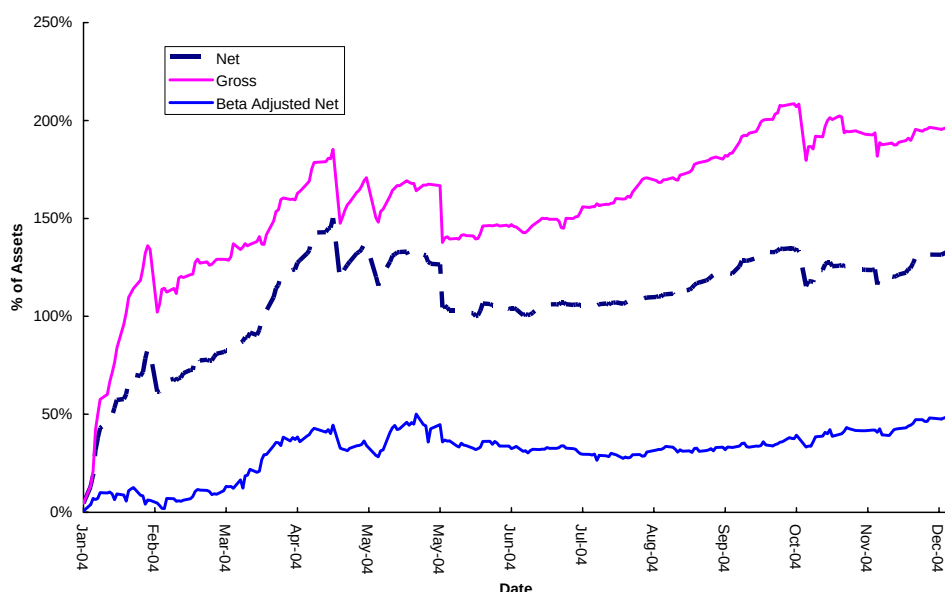
Exposures

Our gross and net exposures ended the quarter at a high level, driven by an excess of attractive opportunities. Our net long began January at approximately 113% as a result of the additional capital that we took in at the end of December. However, our beta adjusted net long, remained at approximately only 50% of net assets.

Period	Outright Longs	Outright Shorts	Long side of Share Class Arbitrage	Short side of Share Class Arbitrage	Gross	Net
End January	90.0%	-7.0%	19.8%	-19.7%	136.5%	83.1%
End February	87.1%	-4.2%	21.0%	-20.7%	133.0%	83.2%
End March	122.2%	-0.2%	18.4%	-17.4%	158.2%	123.0%
End April	115.0%	-0.6%	13.0%	-13.1%	141.7%	114.3%
End May	127.0%	-3.3%	15.2%	-15.4%	160.9%	123.5%
End June	100.7%	-7.7%	20.7%	-13.6%	142.7%	100.1%
End July	107.3%	-7.3%	23.7%	-17.6%	155.9%	106.1%
End August	107.9%	-6.5%	31.2%	-22.5%	168.1%	110.1%
End September	118.1%	-6.2%	34.6%	-24.4%	184.1%	122.1%
End October	129.1%	-6.4%	41.8%	-30.8%	208.2%	133.7%
End November	113.7%	-5.8%	36.9%	-27.3%	193.4%	117.5%
End December	129.8%	-6.2%	35.2%	-25.6%	196.8%	133.2%

% of Master Fund Net Assets

TCI Master Fund Exposure



Portfolio Update

Altadis

We increased our position in Altadis during the quarter to a full position of 20% of assets. Since the beginning of the year this has been one of our largest holdings. Our investment thesis has been that the intrinsic value of the stock was close to 100% above our initial entry price and either the stock market would recognize this or corporate activity would capture this value gap. Interestingly, at a Citigroup conference in London in the fall, Japan Tobacco publicly announced that they were very keen to buy a major European tobacco company. Realistically only Gallaher and Altadis are candidates for such an acquisition with the others being consolidators. We believe that there are three potential purchasers over time of Altadis at some price – Japan Tobacco, BAT, and Imperial Tobacco each with significant synergies.

During December, Altadis issued a statement to the Spanish market regulator stating that they were not currently in negotiations with Imperial Tobacco in response to press reports that an approach had been made by Imperial for a merger or takeover. Our view is that this would be a very attractive deal for Imperial to make given its relatively highly rated paper and significant track record in cost cutting deals. Despite the near 50% move up in the stock during 2004, we still feel that there is a free option on consolidation in the stock since the stock is trading at a discount to intrinsic value at x 11 our 2006 estimated earnings.

Autostrade and Snam Retegas

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Autostrade and Snam Retegas continued to perform well during the quarter with little stock specific news except a somewhat better than expected annual quality factor tariff adjustment for Autostrade. With real long term interest rates in the US and Europe at close to record lows of around 1.5%, stocks with bond like characteristics and inflation protection like Autostrade and Snam Retegas have been in strong market demand. We continue to believe that the risk adjusted returns in these stocks over the long term will be good.

Euronext and Deutsche Borse

During the quarter, Deutsche Borse made an unsolicited approach to purchase the London Stock Exchange for cash. We believe that it would be a value destructive deal. In addition there is a risk that Euronext makes its own competitive value destructive bid, which would be subject to shareholder approval. Our thesis in these investments is that they are fundamentally strong oligopolies with good growth potential in their derivatives businesses and (without deals) debt free balance sheets. Current trading in both companies remains solid. We do not think that shareholders will simply allow value to be destroyed by over priced acquisitions.

Banca Intesa

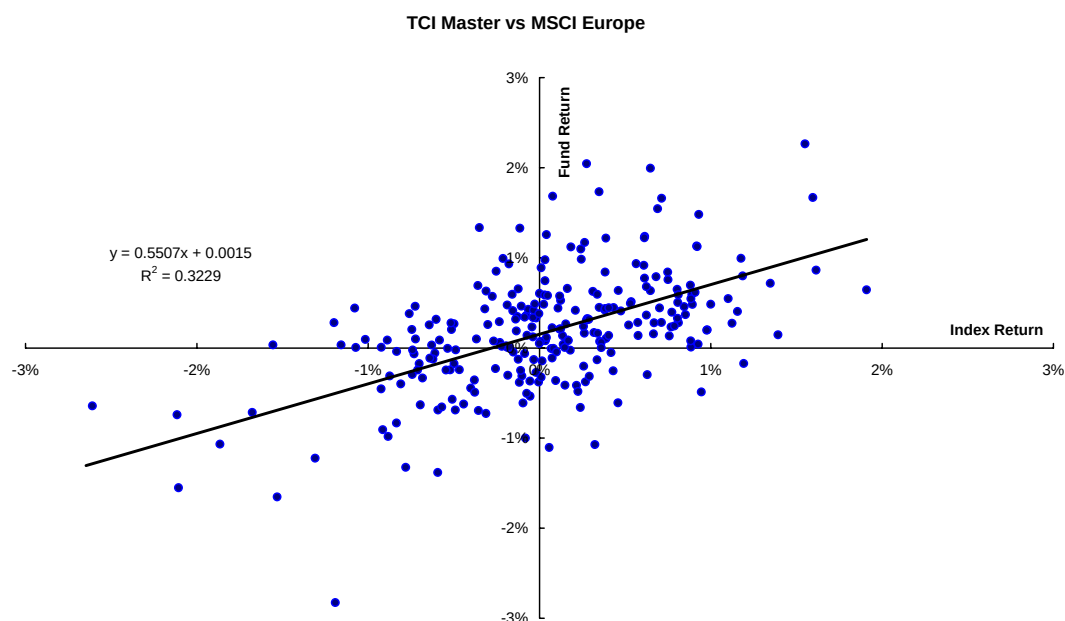
The company released an excellent set of Q3 numbers during Q4 exceeding market expectations and consistent with our view that this historically undermanaged company has been executing its turnaround strategy. The stock has appreciated around 40% since August when we increased our net long position substantially due to a compelling valuation on the non-voting shares of x 7 our 2005 eps estimate, x1 tangible book value and a potential 8% 2005 dividend yield. We hold two positions in the stock – an absolute long of 7% of NAV and a spread against the common shares.

Gazprom

During the quarter Gazprom contemplated a bid for the major assets of Yukos but ended up not participating in the auction. In addition, the company released quite disappointing quarterly profit figures which increased our conviction that this position should be run purely as an arbitrage. We have increased our ADR hedge ratio to what we consider (factoring in capital gains taxes) a full hedge of 85% of the long market value by dollars. The spread has been narrowing from approximately a 60% premium where we set up the trade, to a 25-30% premium today. We expect the ring fence removal to occur mid year 2005 or H2 2005.

Market Correlation

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The chart plots Master Fund daily gross returns as a function of MSCI Europe daily returns. On the average day in 2004, if the index moved by one percent, the Fund moved by 0.55 per cent (the slope of the line of best fit) plus 0.15 per cent (the intercept of the line of best fit with the Y axis, our daily alpha). Hence one can observe a degree of market sensitivity in the portfolio in 2004 consistent with our investment strategy. On average in 2004, if the market was unchanged, the Fund gained 15bp.

Foreign Currency Exposure

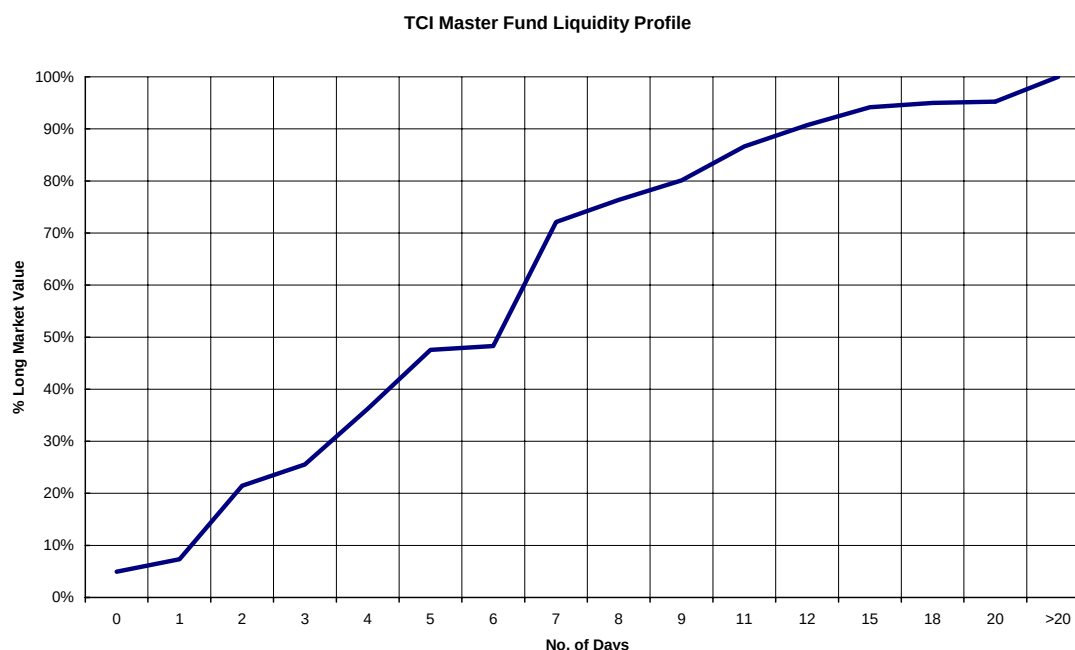
The Fund continued to routinely hedge its non base currency exposure. Some currency exposures were left unhedged and these are shown below with their quarter end net positions.

Russia	5.2% net long
India	1.3% net long
Thailand	1.2% net long

These currencies strengthened in the period, especially against the US Dollar. We estimate that being unhedged the rouble added about 27bp to portfolio performance in the period. We estimate that being unhedged the Rupee and Bhat added 6bp and 8bp to portfolio performance in the period.

Liquidity Analysis

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NB: Analysis is based upon long positions only, including long side of share class arbitrages

Longs Only Liquidity Band (Days)	NAV	Cumulative % NAV	Cumulative % Longs
0	8%	8%	5%
1	4%	12%	7%
2	23%	35%	21%
3	7%	42%	26%
4	18%	60%	36%
5	19%	78%	48%
6	1%	80%	48%
7	39%	119%	72%
8	7%	126%	76%
9	6%	132%	80%
11	11%	143%	87%
12	7%	150%	91%
15	6%	155%	94%
18	1%	157%	95%
20	0%	157%	95%
>20	8%	165%	100%

There has been some improvement in the overall liquidity profile of the fund. At quarter end 48% of the longs represent five day's volume or less (46% last quarter end) and 32% of the longs represent between 5 and 10 days volume (was 23% last quarter end). 20% of the longs represent more than ten days volume, improved from 31% at the end of Q3. Again, the fund's lock up allows us to be comfortable with the portfolio's current liquidity.

We calculated these numbers taking the fund's holdings and compared them to last three months volume (source: Bloomberg, LP). For example, an 80 share position in a stock

which is seen to have average volume of 16 shares daily over the past 3 months is shown as being 5 days volume.

Staffing

Oscar Veldhuijzen will be joining us in March as an analyst to focus on Asian equities. He has been running a large non-indexed absolute return portfolio of Asian equities for the Philips pension fund and previously for Pictet.

TCI Focus Fund

TCI Focus Fund commenced operations on 1st September. It has fully drawn down its committed assets of \$145m into four equity positions in which the TCI Fund was deemed to be fully invested. Net returns to investors since inception are over 13% net to December 31 2004 from September 1. We have not taken additional capital since September 1 for this fund and at this point are not seeking it.

Assets Under Management

As at the end of December, net assets were \$1,641m in the Limited feeder (Offshore) and \$388m in the LP feeder (Onshore). We took approximately \$400 mm of capital at the end of December in order to take advantage of 3 specific new opportunities which we think will offer attractive rewards and to deleverage.

Parvus

Parvus has enjoyed a successful start and is running both long only and hedge funds. All are producing positive returns since inception.

The Children's Investment Fund Foundation

CIFF hired its first full time staff member, Mary Oqumu, in September and she is based in Nairobi, Kenya and has extensive experience in development work.

The major initiatives this quarter were the approval of two significant grants.

CIFF will fund Heifer International to implement a food security program for AIDS orphans in Homa Bay Kenya purchasing, in its first 3 year phase, 1000 dairy goats.

Jamie Cooper-Hohn (my wife), who runs the foundation, has joined the board of The Clinton Foundation (President Clinton's foundation with a central focus to date on HIV/AIDS in developing countries). The foundation has agreed to fund the Clinton Foundation's technical assistance to the Indian Government for the implementation of their national program to distribute free Antiretroviral drugs to all people requiring them.

A board of advisors for CIFF's microfinance initiatives has been established and set out a strategy for this area.

As committed to in the Fund prospectus, CIFF has started the production of its first annual report. Further details, as always, are available on its website www.ciff.org

2004 Summary

During the fall of 2003 we marketed the Fund to investors on the basis of a simple strategy of a concentrated, long biased (potentially 100% long), portfolio of equities of strong businesses at attractive (and hopefully bargain) discounts to intrinsic value held typically over a medium term investment horizon of 1-3 years. Its geographic focus would be Europe and opportunistically we would invest in emerging markets. Our target medium term returns would be 10% and we would seek always to avoid permanent capital loss. We would not usually actively trade the portfolio and we would only short stocks or indices as a directional stand alone bet rather than to hedge. Investors should expect the fund to be volatile and market sensitive. We also promised that we would eat our own cooking by increasing the Manager's investment over time in the Fund.

For better or worse we believe that we have consistently and diligently followed this strategy during 2004. We have repeatedly said that we should be judged over a medium term (at least 3 year period) as to see if the strategy and its implementation are effective and we continue to believe this. Some years will see above average results and some below – we cannot, unfortunately, provide the smooth monthly returns that other funds promise. Appendix 1 shows the major contributors to returns in 2004. Generally, our key bets showed strong performance and we had no significant losers. We did not find effective shorts during the year, which was not a large surprise to us, given the high margin of safety that we seek from this activity. Our biggest loser for the year was, in fact, our only material directional short during the year. In general, we found European markets to be more efficient than we have seen them in a very long time. However, with a concentrated strategy the good news is that one does not seek hundreds of ideas but a handful and we have been so far able to find an excess of attractive ideas relative to our capital and utilise our competitive advantage of longer term capital.

Our team has performed well in 2004 and developed a strong mutual respect and understanding of our strengths and weaknesses. We continue to invest in developing our team and adding opportunistically to it.

2005 Outlook

We maintain our normal agnostic state of mind on market direction. Despite the strong gains in our portfolio we still see good upside in it over the medium term, but are moving capital into several new ideas that we have not mentioned in this report. We will continue to stick to our original strategy, although we do expect in some cases to become more activist in our approach to extracting value from our investments, particularly where management is acting against shareholder interests.

We value your support for us greatly and will continue to work hard and invest alongside you. Subject to any unanticipated legal or tax obstacles, I expect CIFF to very substantially increase its investment in the fund as evidence of our belief in our

investment process. However, as always, the ultimate proof will be our delivery in the long term of good risk adjusted returns to our investors.

Christopher Hohn
Managing Partner
The Children's Investment Fund Management (UK) LLP
7th January 2005

Appendices

Appendix 1

Top Positions at Quarter End and Q4 Trading Gains Breakdown

Stock	% Master Fund Assets	Country	Market Cap \$M	% of Q4 Trading Gains	Trading Gains as % of End NAV
Altadis	20.25%	Spain	13,212	23.5%	3.5%
Autostrade	16.85%	Italy	15,543	14.1%	2.1%
Banca Intesa Risp	14.42%	Italy	3,000	22.4%	3.4%
Snam Rete Gas	13.81%	Italy	11,474	8.6%	1.3%
Deutsche Boerse	9.87%	Germany	6,787	3.0%	0.4%
Euronext	8.65%	France	3,684	-1.1%	-0.2%
Gazprom	7.15%	Russia	65,392	1.0%	0.2%
Auto Routes Sud de la France	6.72%	France	11,868	0.2%	0.0%
Volkswagen Prefs	6.62%	Germany	18,760	1.6%	0.2%
LG Corp	6.61%	Korea	2,992	3.3%	0.5%
Total	110.9%		Total	+76.6%	+11.4%

Positions Contributing Most to P&L in Calendar 2004

Biggest Winners		% 2004 Gains
Altadis	Outright	17.8%
Autostrade	Outright	14.3%
Intesa	Spread	10.7%
LG Corp/GS Holding	Outright	9.9%
Snam Rete Gas	Outright	6.3%
Gazprom	Spread	5.1%
Vinci	Outright	4.3%
Auto Routes Sud de la France	Outright	4.3%
KT&G	Outright	2.8%
Autostrade Torino Milano	Outright	2.5%
Biggest Losers		
Tui	Outright	-1.4%

Appendix 2 – End Year Sector and Country Exposure

Sum of Exposure		Sector	Country														Grand Total	
Strategy	Long/Short		Italy	Spain	France	Korea	Germany	Russia	US	India	Thailand	UK	Switzerland	Portugal	Austria	Czech Republic		
Outright	Long	Food Drink and Tobacco	18.3%	20.3%	6.7%	8.6%	9.9%					1.2%		0.8%			30.0%	
		Transportation Infrastructure			8.7%					0.3%							25.8%	
		Diversified Financial Services	13.8%														18.8%	
		Gas Utilities	8.4%						0.2%	1.4%							13.8%	
		Commercial Banks															9.9%	
		Construction & Engineering			7.2%	0.2%											7.4%	
		Electric Utilities		6.7%													6.7%	
		Industrial Conglomerates															6.6%	
		Media															2.3%	
		Wireless Telecommunication Services																2.3%
		Oil & Gas							2.3%	1.8%								1.8%
		Machinery																0.9%
		Real Estate									0.9%							0.9%
		Metals & Mining					0.9%											0.9%
Outright Total	Short	Diversified Telecommunication Services												0.6%			0.7%	
		Multi-Utilities & Unregulated Power	0.5%														0.5%	
		Household Durables									0.3%						0.3%	
		Pharmaceuticals					0.3%										0.3%	
		Building Products	0.1%														0.1%	
		Commercial Services & Supplies				0.0%											0.0%	
		Household Durables	41.1%	26.9%	22.6%	18.6%	10.1%	4.1%	0.2%	1.6%	1.2%	1.2%	0.9%	0.8%	0.6%		129.8%	
		Electronic Equipment & Instruments				-0.2%											-0.2%	
		Hotels, Restaurants & Leisure				-2.0%		-3.9%									-3.9%	
						-2.2%												-6.2%
						16.3%	6.2%	4.1%	0.2%	1.6%	1.2%	1.2%	0.9%	0.8%	0.6%		0.1%	123.7%
			41.1%	26.9%	22.6%	16.3%	6.6%	7.2%										14.4%
			14.4%				6.6%											6.6%
			14.4%				6.6%	7.2%		4.6%								4.6%
								-4.7%								32.8%		
								-6.1%								-4.7%		
								-6.3%								-6.1%		
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